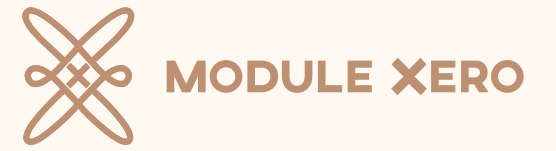


2026



The Responsible *Leadership* Gap Report

REVISED EDITION · MAY 2026
N=23 GLOBAL LEADERS

PILOT STUDY · SECTORS: AI/ML, CONSULTING, ACADEMIA, SOCIAL IMPACT, BANKING GEOGRAPHIES: INDIA · EU · US · UK · AFRICA · APAC · LATIN AMERICA

What 23 Global Leaders
Revealed About AI, Ethics
and the Distance Between
Values and Action

KEY FINDINGS AT A GLANCE

70% +

cite speed as their biggest obstacle to responsible decision-making

87%

would retrain rather than make team members redundant

100%

link ethical values to long-term trust — but institutions reward speed

52%

navigate by inner clarity — yet organisations provide no infrastructure for it

AI is shifting the unit of decision from individual moments to system architecture

THE COHERENCE CRISIS

Why This Matters Now

The coherence crisis and the AI leadership paradox.

“

We are not in
a leadership crisis.
We are in a

LEADERSHIP COHERENCE CRISIS.

Leaders have values.
They lack the structures,
practices and community
to act on them
consistently.”

— SHEENA BHALLA · FOUNDER, MODULE XERO

We are living through a leadership coherence crisis. Not a leadership shortage as the world has no deficit of people in positions of authority. Not a value deficit. Our data shows that leaders across every sector and geography hold clear ethical commitments. The crisis is structural: the distance between what leaders believe and what their institutions make possible has become a measurable risk factor, not a philosophical concern.



THE AI LEADERSHIP PARADOX

Organisations are adopting AI faster than leaders are developing the human capacities needed to guide these technologies responsibly. The result is a systemic mismatch: technical capability is accelerating while ethical practice is stagnating.

But the paradox runs deeper than speed. AI does not simply add pace to existing work. It fundamentally shifts the architecture of decision-making. When an algorithm makes ten thousand micro-decisions before a leader reviews one dashboard, responsible leadership can no longer operate only at the level of individual choices. It must operate at the level of systems design, governance architecture, and the values embedded in data and product decisions long before any human reviews them.

The leaders who participated in this study understand this intuitively. What they lack is not awareness — it is the structural conditions to act on what they know. Global trust in institutions, technology companies and leadership structures is rapidly eroding. The demand for transparency, care and connection has never been higher. Yet the practices that sustain these qualities are cultivated almost entirely outside the organisations these leaders lead.

What is missing is not another framework. It is a coherent, embodied practice that leaders can sustain daily.

ABOUT THIS STUDY

Between December 2025 and January 2026, Module Xero conducted a pilot questionnaire with 23 global leaders. This report is the first instalment of a broader 500-leader research initiative.

Respondents answered 12 questions spanning ethical decision-making, AI's impact on leadership, internal navigational signals, team management scenarios and personal grounding practices. Every response was read in full — not just coded — and the qualitative material is treated throughout as primary analytical data, not merely illustrative quotation.

RESPONDENT PROFILE

SECTOR

AI / Technology	35%
Consulting / Professional services	30%
Academia / Research	17%
Social impact / Other	18%

YEARS OF LEADERSHIP EXPERIENCE

20+ years	43%
11–20 years	26%
6–10 years	22%
0–5 years	9%

GEOGRAPHIES

India / Asia · EU · US · UK / Ireland · Africa · APAC · Latin America

ROLE LEVELS

Founders, CXOs, Senior Managers, Researchers, Advisors

FIVE CAPACITIES EXPLORED THROUGHOUT

Every question in the study was designed to surface one or more of five core capacities that form the backbone of the MX Responsible Leadership Framework. These are not competencies in the conventional HR sense; instead they are navigational qualities, the inner instruments leaders use to find their way when the external signals are contradictory or absent.

01	Awareness	Noticing early signals before they become crises
02	Clarity	Cutting through noise and staying steady under pressure
03	Connection	Relating to and considering people, teams and communities
04	Ethical Judgment	Using power in service of trust and shared values
05	Discernment	Choosing wisely between competing priorities or paths

External Pressure.

Internal Erosion.

Structural Absence.

THE THREE-LAYER GAP MODEL

The original report identified five distinct gaps. On closer reading of the full qualitative dataset, a more precise architecture emerges. The five gaps are not independent phenomena — they are three types of structural failure operating at different levels simultaneously. Understanding the layering is what makes the findings actionable rather than descriptive.

LAYER 01 — EXTERNAL PRESSURE

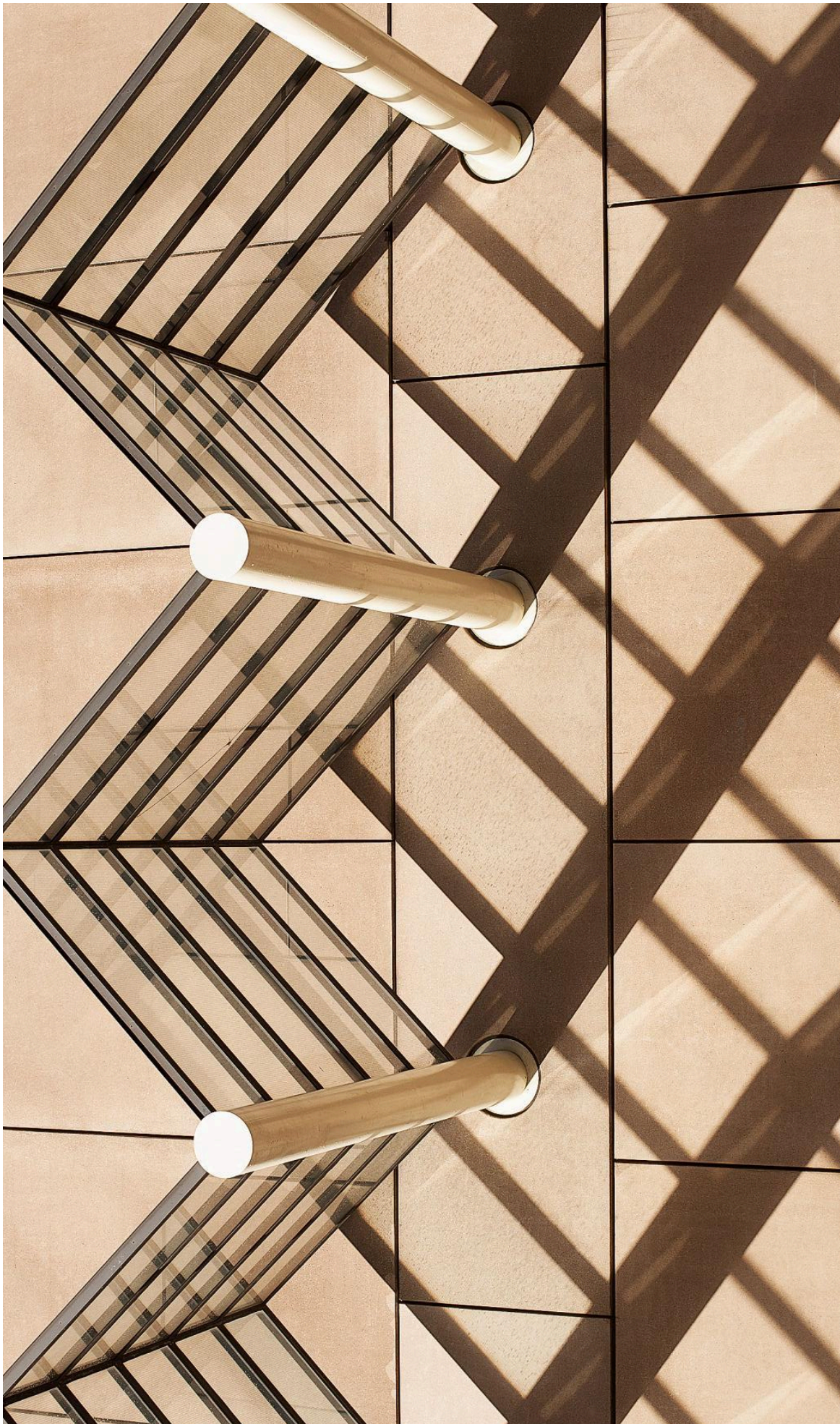
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LAYER 02 — INTERNAL EROSION

The primary navigational instrument leaders use — inner clarity — is being systematically degraded by the conditions created in Layer 01. 52% of respondents cite mental clarity as their main internal signal. Yet the same leaders report that emotional overwhelm, conflicting priorities and organisational noise are making that clarity progressively inaccessible. The compass exists; the conditions for reading it do not.

LAYER 03 — STRUCTURAL ABSENCE

The practices that restore and sustain the capacities described in Layer 02 — meditation, movement, nature, journaling, community — are cultivated almost entirely outside the organisations these leaders lead. The institutional support for responsible leadership practice is effectively zero. Wisdom exists; structure does not.



WHY THE LAYERING MATTERS FOR AI LEADERS SPECIFICALLY

In AI-era organisations, the three layers interact with particular intensity. Layer 01 pressure is amplified by competitive dynamics that reward shipping over stewardship. Layer 02 erosion is accelerated because AI expands the scope of decisions without expanding the human bandwidth to consider them. Layer 03 absence is most acute in tech cultures that treat inner practice as personal rather than professional.

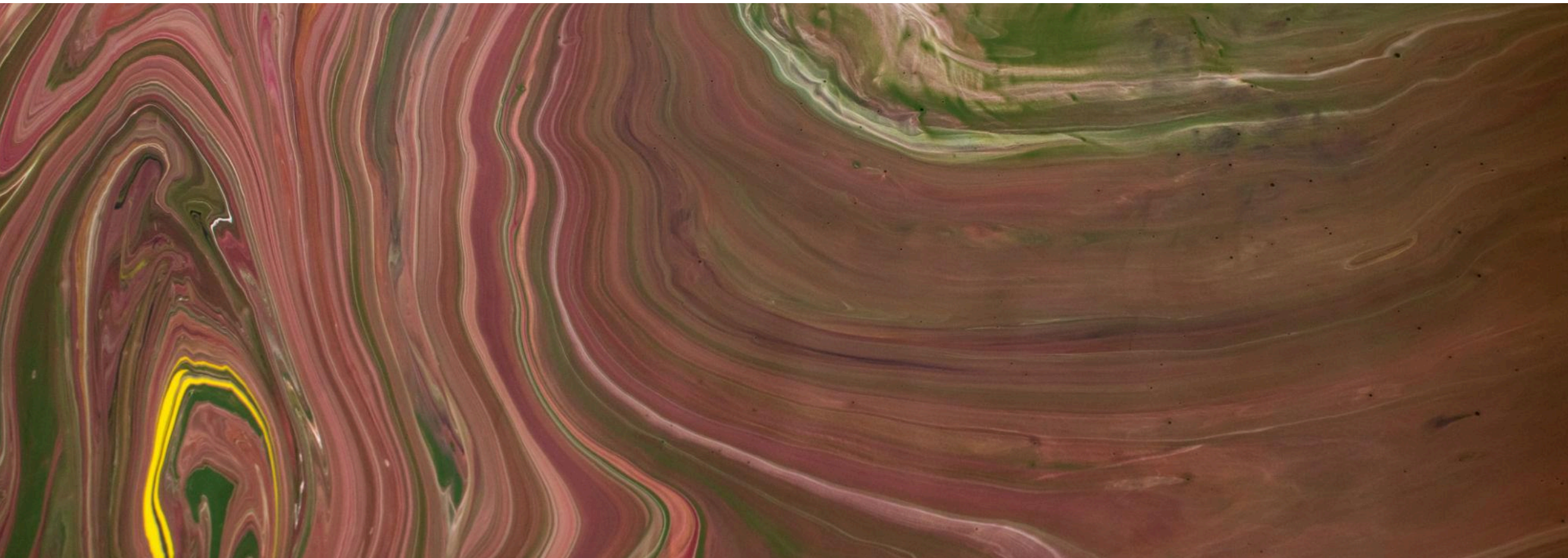
A leader cannot govern an AI system responsibly if the conditions for responsible judgment have been systematically removed.

Wisdom
exists.

*Structure
does not.*

THE FIVE GAPS IN DETAIL

Within the three-layer model, the data reveals five specific, named gaps. These are presented not as abstract findings but as the actual lived tensions our respondents described — with the full interpretive weight of the qualitative material restored



Speed is
winning the
war against
connection.

KEY FIGURES

63%

chose "speed over impact" as their top AI-era challenge

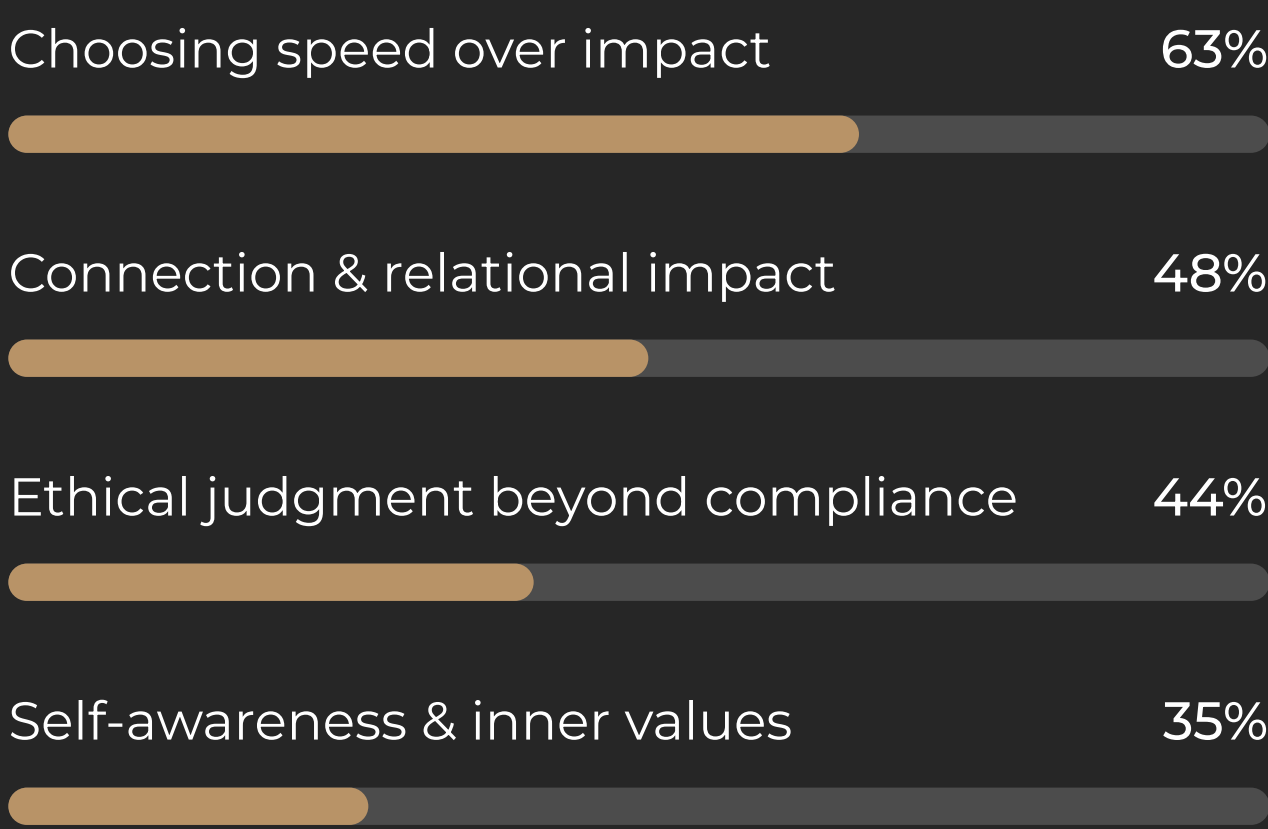
57%

cite pressure for speed as their biggest obstacle to responsible decisions

52%

report connection and relational impact as hardest to sustain

WHAT HAS BECOME HARDER WITH AI?



When asked what has become harder with AI in their work, leaders pointed overwhelmingly to the human dimensions of leadership — not the technical ones. The pattern is unmistakable and the mechanism is clear: AI accelerates the tempo of work; the first casualty is human connection.

But this is not simply about leaders moving faster. It is about institutional incentive structures that treat speed as virtue. Quarterly targets, competitive pressure, investor timelines — these create an environment in which choosing connection over pace is experienced not just as inefficient but as professionally risky. Leaders do not lack the values. They lack the permission structures and organisational cover to act on them.

The data on AI-specific challenges reinforces this: 48% cite ethical judgment beyond compliance as harder, 44% cite self-awareness and inner values, 35% cite accountability and ownership. In every case, the casualty is a human-centred capacity, not a technical one.

“

LEADERS VALUE ETHICS – INSTITUTIONS REWARD SPEED

The balance: long-term vision first — ethical values are the obvious foundation of that — need-to-stay-afloat second, but both important. Which decision today will I be proud of — or at least comfortable with — in one year?

— JENNY ROMANO, CO-FOUNDER & CEO,
THE NEWSROOM (AI & ML SECTOR)

KEY FIGURES

52%

name conflicting priorities as their biggest challenge

57%

name pressure for speed as their biggest obstacle

100%

link ethical values to long-term trust



Romano's formulation — the one-year comfort test — is more than a personal heuristic. It is a structural proposal: organisations that build regular ethical retrospectives into their decision cycles create the conditions for this kind of judgment. Those that do not leave leaders navigating by instinct alone, against institutional headwinds. Leaders are not asking for more rules. They are asking for the conditions to exercise judgment

Every respondent in this study connects ethical values to long-term trust. Not most — all. Yet the same leaders report that short-term institutional pressures consistently override the ethical judgments they would otherwise make. This is the central contradiction of responsible leadership in the AI era: the values are present and articulate; the structures that enable acting on them are absent.



GAP 03

Inner clarity
is the
compass —
but noise
drowns it out.

KEY FIGURES

SECTOR

name mental clarity as their primary internal signal	52%
are guided by ethical discomfort	22%
rely on rules or governance frameworks as their primary guide	0%

PRIMARY INTERNAL SIGNAL IN
HIGH-PRESSURE MOMENTS

